

CITATION: Pongracz v. Loblaw's Supermarkets Limited, 2011 ONSC 4505

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MOTION HEARD: 20110722

REASONS RELEASED: 20111219

SUPERIOR COURT OF JUSTICE – ONTARIO

RE: Sheila Pongracz
Plaintiff
v.
Loblaw's Supermarkets Limited
Defendant

BEFORE: MASTER D.E. SHORT

COUNSEL: Melissa Miller Fax: 416 361.0083
for the Plaintiff (moving party)
Anne Walker Fax: 905 563.6886
for the Defendant,

HEARD: July 22, 2011

REASONS FOR DECISION

A Slips and Fall Case

I. Motion

[1] The Plaintiff, Sheila Pongracz, is seeking an Order setting aside a Registrar's Order dismissing the action for delay, and restoring this action to active status.

II. Overview

[2] This matter arises out of a slip and fall incident which occurred on June 19, 2006 at one of the stores of the Defendant, Loblaw's Supermarkets Limited ("Loblaw's") located in Richmond Hill. On that day, the plaintiff, was walking in the freezer section of the Loblaw's when, in the words of her counsel's factum, "suddenly and without warning she slipped and fell on an accumulation of liquid that was leaking from a malfunctioning freezer."

[3] As a result of this incident, it is alleged, she sustained serious and permanent injuries to her head, neck, shoulders, back, spine, leg and hip.

[4] At a point almost two years later she consulted her now, current counsel (the “Firm”), with regard to the possibility of bringing an action.

[5] There apparently was insufficient time to conclude a retainer agreement prior to the expiration of two year limitation period was about to expire. In an effort to protect her position, a Statement of Claim was drafted and issued in this action on June 17, 2008 and ultimately served on the defendant. That pleading, as a consequence of the situation described above, was issued in Ms. Pongracz's name by the firm in order to provide her with protection from the pending expiry of the limitation period and to allow the firm an opportunity to investigate the matter further. The claim document reflected her, then current, home address as the address for service.

[6] The affidavit filed in support of this motion continues the history:

“We had intended to file a Notice of Change of Lawyer shortly after we received a Statement of Defence and after our investigation was complete, but due to an inadvertence, we did not file one. We had continued, however, to act for Ms. Pongracz as her lawyers in this matter, although this action was still proceeding in Ms. Pongracz's name during this period of time.

[7] Unfortunately, it thus appears that, due to a slip in the law firm’s office, the notice of appointment was served but not filed with the court after it was served.

[8] Unfortunately as well, it would appear that both parents of the plaintiffs were encountering very serious health issues in 2009. The affidavit from her counsel’s firm, filed in support, continues the history:

“I am advised by Ms. Pongracz and verily believe that it was due to an inadvertence, given the circumstances of her parents' poor health and eventual deaths in February and October 2009, that she did not notify the Court or us of her change in address right away.

On or around October 2009, Ms. Pongracz moved from her former address, which is indicated on the Statement of Claim,... to her present address”.

[9] The parties appear to have continued in the erroneous assumption that the Firm was on the record for the plaintiff. The action, in my view, has moved forward relatively quickly.

[10] A Statement of Defence was filed by the Defendant on or about August 7, 2008 and served on the Firm. Examinations for Discovery were conducted on both parties on November 13, 2008, which were conducted by an associate at the Firm.

[11] It would appear that following those discoveries, both parties were corresponding with one another with respect to answers to undertakings until April 6, 2010. The parties were also in the process of scheduling a mediation, which was eventually scheduled to take place on April 22, 2010.

III. Plaintiff’s Delays

[12] The plaintiff was scheduled to attend at a defence medical examination prior to the mediation. The examination was originally scheduled to take place on October 23, 2010, but this appointment was rescheduled for January 11, 2010. Due to an apparent slip on her part, Ms.

Pongracz did not attend on the January 11, 2010 examination “due to an inadvertence in scheduling.”

[13] In her affidavit filed in support, Ms. Pongracz deposes that she did not notify the Court or the Firm of her change in address because during the time of her move, she was very intensely involved with the health and then eventual death of her parents, and the subsequent estate management. This involvement with her parents was also stated as the reason why Ms. Pongracz was unable to attend the first defence medical examination and why she inadvertently missed the second examination appointment.

[14] In the words of her counsel’s factum, “She was going through a very difficult time.”

[15] As a result of Ms. Pongracz’s non-attendance at the defence medical examination, the scheduled mediation was cancelled and a new defence medical examination was scheduled to take place on May 14, 2010, which she *did* attend.

IV. Status Notice

[16] A Status Notice was issued by the Registrar on August 23, 2010 and a Dismissal Order was issued by the Registrar on December 7, 2010. Neither Ms. Pongracz, nor the Firm received a copy of either the original Status Notice or Dismissal Order.

[17] Based on the evidence before me I am satisfied that although it was the intention of the Firm to file a Notice, one was never filed with the court on behalf of Ms. Pongracz, due to an inadvertent slip by the Firm.. However, the Defendant was always aware that the Firm was actively representing Ms. Pongracz in this matter.

[18] It is noteworthy that the Defendant’s counsel, did receive both the Status Notice and the Dismissal Order, but did not notify the Plaintiff or the Firm of the arrival of either document and particularly the dismissal.

[19] Rather, it was not until January 2011 when the defendant’s counsel was contacted by the Firm to schedule a mediation, that the lawyer having carriage of this matter, found out that the action had been dismissed. Defendant’s counsel then forwarded the Status Notice and the Dismissal Order on February 4, 2011.

[20] While there was some minor delay in the scheduling of the herein motion, it was not in my view inordinate. This motion was scheduled in April, after dates were canvassed with the motion scheduling office and counsel.

V. Defendant’s Position

[21] Counsel for the Defendant submitted a fulsome affidavit with more than 20 exhibits. In a 20 page, 53 paragraph, factum counsel took the position that the evidence “is not sufficient to explain the litigation delay”.

[22] Rule 48.14 of the *Rules of Civil Procedure* regulates the status notice and the status hearing in a civil action:

48.14 (1) Unless the court orders otherwise, if an action in which a defence has been filed has not been placed on a trial list or terminated by any means within two years after the first defence is filed, the registrar **shall serve on the parties a status notice** in Form 48C.1 that the action will be dismissed for delay unless, within 90 days after service of the notice, the action is set down for trial or terminated, or documents are filed in accordance with subrule (10). ...

(4) The registrar shall dismiss the action for delay, with costs, **90 days after service** of the status notice, unless,

- (a) the action has been set down for trial or restored to a trial list, as the case may be; ... or
- (c) the judge or case management master presiding at a status hearing has ordered otherwise.

[23] In this case the court apparently received its Status Notice back, unopened, with a notation on the envelope reading "NO SUCH PERSON BY THAT NAME HERE".

[24] While technically there may well have been effective service of the status notice, under the *Rules*, I question the fairness of an action being dismissed in the face of actual notice that the document was not received. This is not a case where the notice was intentionally ignored.

[25] In anticipation of explanations for an inadvertent dismissal the relevant portions of rule 37.14 provide:

37.14(1) A party or other person who,...

- c) is affected by an order of a registrar, may move to set aside or vary the order, by notice of motion that is *served forthwith* after the order comes to the person's attention and names the first available hearing date that is at least three days after service of the notice of motion.

(2) On a motion under subrule (1), the court may set aside or vary the order on such terms as are just

[26] The introduction of this provision to the rules has led to a series of cases which have not really provided any reliable degree of predictability to the bar.

[27] In 2002, in *Reid v. Dow Corning Corp.* (2001), 11 C.P.C. (5th) 80, [affirmed by the Divisional Court as to the four-prong test at (2002), 48 C.P.C. (5th) 93] my colleague Master Dash established four factors to be considered in these cases:

- (1) explanation of the litigation delay;
- (2) inadvertence in missing the deadline;
- (3) the motion is brought promptly; and
- (4) no prejudice to the defendant.

[28] Five years later the Court in *Marche D'Alimentation Denis Theriault Ltee. v. Giant Tiger Stores Limited*, 2007 ONCA 695 applied the reasoning in *Scaini v. Prochnicki*, 2007 ONCA 63 There Justice Sharpe stated at paras. 20-21:

"a contextual approach ...is to be preferred to a rigid test requiring an appellant to satisfy each one of a fixed set of criteria." The four *Reid* criteria are "likely to be of central importance in most cases", but they are not exhaustive and "[t]he key point is that the court consider and weigh all relevant factors to determine the order that is just in the circumstances of the particular case."

The contextual approach mandated by *Scaini* to determine what "is just in the circumstances of the particular case" invites the application of important underlying principles and values of the civil justice system that are inherent in the four *Reid* factors.

[29] Three years later, the Ontario Court of Appeal in; *Wellwood v. Ontario Provincial Police*, 2010 ONCA 366) at para. 75 applied the discussion by Justice Sharp in *Marche* of these foundational principles and values where he emphasized:

- that modern civil procedure requires the discouragement of delay and the enhancement of an active judicial role to ensure timely justice.
- moreover, there is a strong public interest in promoting the timely resolution of disputes." He noted: "Litigants are entitled to have their disputes resolved quickly so that they can get on with their lives. Delay multiplies costs and breeds frustration and unfairness":
- that excusing significant delay "risks undermining public confidence in the administration of justice"; and
- on the other hand, our civil justice system and the requirement of prejudice under the *Reid* test, favour "the goal of having disputes resolved on the merits"

[30] In the defendant's factum each of the Reid factors are weighed in detail and in each case it is argued that the facts support refusing to grant the Order sought. I will return to that analysis later in these reasons.

VI. Recent Caselaw

[31] Those of us charged with deciding at first instance applications of this nature have been seeking to divine clear direction on these issues to avoid a growing succession of cases evaluating the appropriate tests to apply in these cases making their way to the Court of Appeal.

[32] One such case was decided earlier in the month in which this motion was argued is *Aguas v. Rivard Estate* 107 O.R. (3d) 142; 2011 ONCA 494. There a panel of that court in a 2 to 1 split decided to restore an action, where the application to set aside the Registrar's dismissal was dismissed at first instance.

[33] One of the key areas of concern in assessing such motions has been the relevancy of a possible negligence claim being brought against counsel.

[34] In his dissent in *Aguas*, Justice Jurianz observes:

[39] The jurisprudence of this court, despite divergent dicta in some cases, is that the failures of counsel are a relevant consideration in exercising the court's discretion to set aside a dismissal order. In *Marché*, Sharpe J.A. also explained, beginning at para. 30, why it is relevant to assess the degree of fault involved where the dismissal order is due to a failure of the plaintiff's solicitor. He emphasized how the nature of the solicitor's fault engages the public interest by pointing out [at para. 32] that "[l]awyers who fail to serve their clients threaten public confidence in the administration of justice". Therefore, the court should consider whether the solicitor's failure amounted to more than the [at para. 31] "kind of lapse or inadvertent mistake that the legal system can countenance". He added [at para. 31] that the courts "should opt for a resolution that discourages this

type of conduct which undermines the important value of having disputes resolved in a timely fashion". Rather, the right message was one that provides the appropriate incentives to those involved in the civil justice system. He cautioned [at para. 32] against the risk "that the public would perceive disregarding the solicitor's conduct . . . as the legal system protecting its own". He advised that the courts should consider whether excusing delay in a particular case would throw into question their willingness to live up to the stated goal of timely justice. Finally, he observed [at para. 30] that where negligence rather than mere inadvertence is involved, "[l]eaving the Registrar's order in place would not necessarily deprive the [plaintiffs] of a remedy". He concluded [at para. 41] that "[r]einstating the action at this point would undermine the finality principle while refusing to reinstate the action does not interfere with the need to ensure adequate remedies".

[40] This court, in *Machacek v. Ontario Cycling Assn.*, [\[2011\] O.J. No. 2379](#), [2011 ONCA 410](#), recently applied the Marché approach to a solicitor's conduct that was responsible for the delay. After citing Sharpe J.A.'s reasoning in Marché, the court added [at para. 10] that **"the appellants are not left without a remedy as they still have recourse through an action in solicitor's negligence"**. [my emphasis]

[35] Justice Jurianz further describes the tension between the two approaches in his judgment in *Aguas*:

[41] It seems to me that the motion judge was much better positioned to assess whether the lapse of the appellant's solicitors in apparently not reviewing their client's file for some 17 months was more than should be countenanced in the practice before her court. There is no indication in my colleague's reasons that any weight is given to the effect of the appellant's solicitors' conduct in undermining public confidence in the administration of justice, the damage caused by the perception that the legal system is protecting its own, the unwillingness of the courts to live up to their stated goal of timely justice and the sending of a message that provides the appropriate incentives to those involved in the civil justice system. The result reached by the majority provides no incentive to lawyers to improve the quality of service to the public, for example, by reviewing their files regularly, being mindful of the expiration of the time period stated in rule 48.14 and generally moving their clients' actions forward. Rather, the careful service provided by the respondents' solicitors underpins the excusal of the appellant's solicitors' failures.

[36] This approach is to be contrasted however with the earlier view expressed by Justice Laskin writing for a unanimous panel consisting of Justices Doherty, Laskin and Lang in *Finlay v. Van Paassen*; 101 O.R. (3d) 390; 2010 ONCA 204.

[37] In *Finlay*, at the conclusion of the Court's reasons, Justice Laskin observed:

[30] Cumulatively, these considerations outweigh the two-year delay in bringing the motion and justify setting aside the registrar's order. In my view, it is in the interests of justice to do so.

[31] Finally, although not necessary to my decision, I wish to comment on two other considerations relied on by the motion judge to deny Finlay relief. The motion judge rested his decision principally on the two-year delay in moving against the registrar's order, but he also referred to the possibility of a negligence claim against Finlay's law firm and the "expiration of the limitation period". Neither consideration, in my view, is germane. The motion judge said:

- I also think that the Plaintiff is not necessarily out any remedy and LPIC may, indeed, become involved, although I express no opinion, and certainly no opinion as to whose negligence would be involved as I do not know exactly what took place between Mr. Morris and Mr. Ferro.
- In sum, two years of delay took place after the expiration of the limitation period. Taking that into account and also the fact that the Defendants have some entitlement to rely on the finality of the registrar's order, I think the motion cannot succeed.

[32] A judge who refuses to set aside a dismissal order will naturally be concerned that the effect of the refusal will be to deprive an innocent party of its day in court. **To protect the claim of the innocent party, the judge will often raise the possibility of a negligence action against the party's own lawyer. Although perhaps understandable, I do not find this helpful. Speculation about whether a party has a lawsuit against its own lawyer, or the potential success of that lawsuit, should not inform the court's analysis of whether the registrar's dismissal order ought to be set aside.**

[33] **In my view, on a motion to set aside a dismissal order, the court should be concerned primarily with the rights of the litigants, not with the conduct of their counsel.** As Sharpe J.A. noted in *Marché*, at para. 28, "The law will not ordinarily allow an innocent client to suffer the irrevocable loss of the right to proceed by reason of the inadvertence of his or her solicitor." Sharpe J.A. went on to recognize that **the situation may be different where the lawyer's conduct is not inadvertent but deliberate.** In the case before us, however, the conduct of Finlay's law firm was not deliberate, which affords a further basis to call into question whether the motion judge's decision was just: see *Chiarelli v. Weins*; *Gao v. De Keyser*, [2008]

O.J. No. 2225, 61 C.P.C. (6th) 89 (Div. Ct.), at para. 27. [my emphasis]

[38] In this case I do not regard the situation as being caused by advertent negligence of the lawyer and note that, to a degree, some of the slips were the client's own. In this circumstance the client might otherwise be "left without a remedy"; as it is certainly conceivable that there is no other party against whom to seek recourse for the dismissal of the action.

[39] Clearly, on these motions there is a balancing act. Once the appropriate criteria are clearly established, the judges and masters at first instance are required to carefully review the facts and exercise their discretion, so as to enhance the predictability of likely outcomes in a variety of similar circumstances in the future.

[40] More recently, in early October of this year, Master Dash conducted a disquisition of the caselaw in this area in his judgment in *Vaccaro v. Unifund*, 2011 ONSC 5318. Although in that case he was dealing with a dismissal of an action as abandoned under Rule 48.15, he took the opportunity to canvas developments since his original decision in *Reid*.

[41] In *Vaccaro*, after reviewing the two streams of cases at the Court of Appeal, Master Dash considers the 2011 decision in *Hamilton (City) v. Svedas Koyanagi Architects Inc.*, 2010 ONCA 887; 271 O.A.C. 205; 328 D.L.R. (4th) 540; 104 O.R. (3d) 689; 97 C.L.R. (3d) 1. He observes:

[29] On motions to set aside an administrative dismissal, the tension between the principle of determining actions on their merits and the public interest in discouraging delay has been highlighted by Laskin J.A. speaking for the court in *Hamilton (City) v. Svedas Koyanagi Architects Inc.* (*Hamilton* was decided before *Machacek* and *Aguas*). He states that in exercising discretion on such motions, "two principles of our civil justice system come into play...The first...is that civil actions should be decided on their merits...The second principle is that civil actions should be resolved within a reasonable timeframe...Both the litigants and the public have an interest in timely justice. Their confidence in the administration of our civil justice system depends on it. On motions to set aside an order dismissing an action for delay, inevitably there is a tension between those two principles." Justice Laskin then lists what are typical considerations the court weighs to resolve this tension. These considerations echo the *Reid* factor. Justice Laskin adds that the amount of weight to be assigned to each consideration "will vary from case to case. The court's overriding objective is to achieve a just result – a result that balances the interests of the parties and takes into account the public's interest in the timely resolution of disputes."

[42] Turning to the "presumption of prejudice" factor, his reasons focus on the decision in *Wellwood v. Ontario (Provincial Police)*, (2010), 102 O.R. (3d) 555, [2010] O.J. No. 2225, 2010 ONCA 386, 262 O.A.C. 349, 90 C.P.C. (6th) 101, and continue:

[30] As noted, one of the *Reid* factors for the court to weigh in determining such order as is just is whether the defendants have been prejudiced by the delay or by reliance on the finality of the dismissal. While prejudice is only one of the relevant factors, it is invariably a "key consideration." The plaintiff is charged with the task of demonstrating, at least *prima facie*, that the defendants have suffered

no prejudice as a result of the delay. The court in *Wellwood* explains the operation of the presumption of prejudice: “The expiry of a limitation period can give rise to some presumptive prejudice, the strength of which increases with the passage of time. Where the presumption arises, the plaintiff bears the burden of rebutting the presumption, on proper evidence. Where the presumption is so displaced, the onus shifts to the defendant to establish actual prejudice.”

[31] The presumption arises when an action is dismissed after the passage of a limitation period, even if the action was commenced within the applicable limitation period. Because memories of witnesses fade over time a presumption of prejudice would arise “after passage of an inordinate length of time after a cause of action arose or after an applicable limitation period has passed.” The “force of the presumption [...] will depend on the time which has passed after the expiration of a limitation period as well as on the nature of the action. While the presumption will speak as a **barely audible caution immediately after a limitation period has expired, it may command with increasing imperativeness on the passage of a substantial time, depending on the cause of action**”

[32] How can a plaintiff rebut the presumption of prejudice? “The plaintiff can overcome the presumption of prejudice for example by evidence that relevant documents have been preserved, key witnesses are available, certain elements of the claim may not be in issue, and in the case of personal injury, that medical evidence of the progress of the injuries is available.” [footnotes omitted throughout]

[43] With respect to the rationale in *Wellwood*, Master Dash highlights a factor not present in the case before him, nor the present case before me:

[45] In *Wellwood* the master had refused to set aside the registrar’s dismissal order. Her decision was reversed by the Divisional Court, but the Court of Appeal restored the decision of the master. The master and the Court of Appeal relied on the following circumstances in refusing to set aside the dismissal: The overall significant passage of time including the time since the cause of action arose. No meaningful steps were taken to regularize pleadings or otherwise advance the litigation other than serving the statement of claim. There was a delay of over two years from dismissal of the first action to service of the motion to set aside and almost three years from the commencement of the action until the motion to set aside. The only explanation was that over that time materials were being redrafted and the matter had to be reported to LawPro. **The master’s finding that the plaintiff’s delay was intentional was not challenged.** Although there was no evidence of actual prejudice there was a presumption of prejudice in that the limitation periods expired after the actions were commenced and before the motions to revive were served. Evidence

of preservation of the crown brief was insufficient to rebut the presumption of prejudice since other sources of evidence would be required. The principles articulated in *Marché* of discouraging inordinate delay which risks undermining confidence in the administration of justice and the trumping of the finality principle were all applicable to the matter before the court in *Wellwood*.

[44] Here I find that the missing of the set down date was clearly not intentional. Normal steps in an action of this nature had been continuing. While there had been missed appointments, the defaults were not moved against at the time and the various events were successfully rescheduled. The failure to respond to the Status Notice flowed from the fact it was never received, by either the plaintiff or her counsel. Ironically, as the defendant's counsel had changed firms, the notice to the defendant was also sent to a non-current address for the defendant's counsel, but in that case, it was forwarded and ultimately received.

VII. Analysis

[45] In summary, *Reid* established four factors to be considered in these cases:

- (1) explanation of the litigation delay;
- (2) inadvertence in missing the deadline;
- (3) the motion is brought promptly; and
- (4) no prejudice to the defendant.

[46] Justice Sharpe subsequently added the need to apply the contextual approach mandated by *Scaini* to determine what "is just in the circumstances of the particular case" invites the application of important underlying principles and values of the civil justice system that are inherent in the four Reid factors. I therefore turn to an analysis of the specific elements in the case before me.

(a) Explanation of the Litigation Delay

[47] The Defendant admits in their factum that there was no delay in the litigation up until the missed defence medical examinations.

[48] The unchallenged evidence before me was that Ms. Pongracz was going through a very emotionally stressful period of time during 2009 and into 2010 due to her parent's ill health (they were in and out of hospital and nursing homes), their eventual deaths and the subsequent estate administration.

[49] The Defendant was aware in advance of the first defence medical examination that Ms. Pongracz was unable to attend, hence the rescheduling of the appointment. This was not a failure to attend. While it is admitted that Ms. Pongracz did not attend the January 2010 defence medical examination, she did attend on May 14, 2010.

[50] I find that the delay following this period of time was not inordinate and is not prejudicial in the circumstances. Further, I am unable to conclude that there is any intentional delay here as the Court found was the case in *Wellwood*, nor did the firm effectively abandon Ms. Pongracz's file.

(b) Inadvertence in Missing the Deadline

[51] Here, the inadvertence is in both Ms. Pongracz's failure to notify the Court and the Firm of her address change, and the failure of the Firm to file a Notice of Change of Lawyer.

[52] In my view the circumstances surrounding the failure to file the Notice of Change of Lawyer in this instance are similar to the circumstances in the *R. v. Singh* 2011 ONSC 1772, where Justice Ricchetti found that the failure to file the Notice of Change of Lawyer was through inadvertence and not negligence.

[53] As noted above, I do not consider the strength of a possible claim against counsel as justifying maintaining the Registrar's order in this case, even if the situation was caused by something other than inadvertence.

(c) Motion is Brought Promptly

[54] The motion was booked only 4 and a half months after the action was dismissed and only 2 and a half months after the Plaintiff and her counsel first had actual notice that the action was dismissed. This period is certainly within the bounds of reason and compares favourably to cases such as *Finlay* and *Singh* where much longer delays did not prevent the restoration of those actions.

(d) No Prejudice to the Defendant

[55] While there is a presumed prejudice against the Defendant from a restoration of an action after the expiration of a limitation period, a Plaintiff may rebut the presumption by showing evidence that documents are intact, preserved and available, and that witnesses are available and their memories are intact. [see *Vivace Tavern v. Ontario*, 2011 ONSC 11]

[56] Once the Plaintiff has rebutted the presumption of prejudice, the Defendant has the onus of showing actual prejudice.

[57] Here, the defendant names a number of employees as witnesses in the instant case. One of those individuals, Mr. Cisternino was examined for discovery in November 2008. The remaining witnesses were mentioned during examinations for discovery, but in counsel's factum it is asserted that the plaintiff does not rely on the evidence of store employees as "the sweep log" is already available and has been produced.

[58] The independent eye-witness, Mr. Zeidenberg, is still available as a witness and there is no evidence that he has anything other than a clear memory of the incident.

[59] The defendant has had almost three years to contact the witnesses to obtain a statement from them. Further, other than Mr. Cisternino, Mr. Zeidenberg and the Plaintiff, there were no other eye-witnesses.

[60] The defendant also points to the issue of mediation as a further prejudice in their factum. Their mediator of choice apparently is fully booked for a number of months and the original date was lost due to the dismissal by the Registrar. I believe there are many highly qualified mediators who could skilfully mediate this case. The delay in waiting to have their desired ADR professional mediate this matter, at a later date, or having someone else mediate this matter sooner, is not in my view valid evidence of actual prejudice.

[61] In my view, the plaintiff has adequately rebutted the presumption of prejudice.

VIII. Finality or Fairness?

[62] The defendant also points to the principle of finality of litigation in relation to the issue of prejudice in their factum.

[63] In this case the motion was heard only 7 months after the action had been dismissed and the Defendant was notified that the Plaintiff intended to bring a motion to restore the action, almost immediately after discovering that the action was dismissed.

[64] It seems to me that this case is distinguishable from *Marche* and *Wellwood*, where files were closed and records were destroyed, and where there was an inordinate delay in bringing the motion in those cases.

[65] Nevertheless, in my view is important at this stage of the development of jurisprudence in this area to consider in more detail the question of whether the goal of finality should trump the desire to have matters determined on the merits.

[66] Clearly “fairness” should apply to the positions of both plaintiffs and defendants. How are those often antithetical positions to be assessed?

[67] In that regard, I return to Justice Jurián reasons in *Aguas* dealing with the tension between the two desirable but competing interests of finality and fairness:

[49] In any event, a fair reading of *Marché* does not permit limiting the principles it enunciates to situations in which the solicitor's conduct is described as effectively abandoning the file. In *Marché*, Sharpe J.A. discusses the import of rule 48.14 at the most general level. At para. 23, he says that “[r]ule 48.14 is **one of many rules of civil procedure designed to promote the timely resolution of disputes, to discourage delay in civil litigation, and to give the courts a significant role in reducing delays**”. After referring to some of the other rules that discourage delay and the court's discretionary power to dismiss an action for delay, Sharpe J.A. made **the fundamental observation that delay in an individual case surpasses the rights of the particular litigants and engages the public interest**. The strong public interest in promoting the timely resolution of disputes, he pointed out, had been recognized by the Supreme Court of Canada in *Blencoe v. British Columbia (Human Rights Commission)*, [2000] 2 S.C.R. 307, [2000] S.C.J. No. 43, where the court held, at para. 146, that “[t]he notion that justice delayed is justice denied reaches back to the mists of time . . . For centuries, those working with our legal system have recognized that **unnecessary delay strikes against its core values and have done everything within their powers to combat it.**” Sharpe J.A. added [*Marché*, at para. 25] that “[d]elay multiplies costs and breeds frustration and unfairness”. “[M]odern civil procedure”, he observed, at para. 23, requires “the discouragement of delay and the enhancement of an active judicial role to ensure timely justice”.

[50] It is apparent that in *Marché*, Sharpe J.A. discussed the rule and its application at the most general level. The import of his observations cannot be limited to cases in which the cause of the delay is described as a solicitor putting a file in abeyance. [my emphasis]

[68] His Honour continues with a review of the recent history of the development of the *Rules of Civil Procedure*”:

[51] While Sharpe J.A. talked about “modern civil procedure”, Cronk J.A. in *Wellwood* described rule 48.14, at para. 48, as a component of

"contemporary litigation". Certainly, the rule is one that departs from the traditional model of civil litigation. In the traditional model, the litigants control how quickly, or slowly, their cases move through the system and great value is placed on the determination of each case on its merits. Rule 48.14 is one that gives the court the authority and responsibility to actively manage the cases before it. The rule provides for the removal of individual cases from the court's docket to serve the greater public interest in an efficient court system.

[52] It is worth noting that the shift away from the traditional model has not been universally embraced. As described by Garry D. Watson and Lynne Jeffrey, *Holmsted and Watson: Ontario Civil Procedure*, vol. 4 Supplement (Toronto: Carswell, 1993), at p. 48-25 and p. AR-90 to AR-91, **"Almost from its inception the procedure [under rule 48.14] became controversial, having both its supporters and detractors."** The original rule required the registrar to send out a status notice within one year from the statement of defence. **Among other things, its detractors thought the rule was intrusive as it is for the parties and not the court to control the pre-trial process. The adherents of the traditional model sought to have it repealed, but despite their initiative, the Civil Rules Committee resolved to retain it in 1991, but extended the time allowed to place a case on the trial list to two years.**

[69] Prior to the January 2010 changes to the *Rules*, Toronto Case Management Masters had been guided since 2001 by rule 77 dealing with Civil Case Management.

[70] Former rule 77.02 set out the purpose of the rule in these terms:

77.02 The purpose of this Rule is to establish a case management system throughout Ontario that reduces unnecessary cost and delay in civil litigation, facilitates early and fair settlements and brings proceedings expeditiously to a just determination while allowing sufficient time for the conduct of the proceeding.

[71] There was close case management which helped move cases forward and involved significant participation by the court in ensuring matters got to trial or otherwise resolved promptly.

[72] On January 1, 2010, old Rule 77 was revoked and *inter alia* the following "purpose and general principles substituted":

Purpose

77.01(1) The purpose of this Rule is to establish a case management system that provides case management **only of those proceedings for which a need for the court's intervention is demonstrated and only to the degree that is appropriate**, as determined in reliance on the criteria set out in this Rule.

General Principles

(2) This Rule shall be construed in accordance with the following principles:

1. Despite the application of case management under this Rule to a proceeding, **the greater share of the responsibility for managing the proceeding and moving it expeditiously to a trial, hearing or other resolution remains with the parties.**

2. **The nature and extent of the case management provided by a judge or case management master** under this Rule in respect of a proceeding **shall be informed by any relevant practices, traditions, customs** or judicial resource issues that apply locally in the region in which the proceeding is commenced or to which it is transferred.
[my emphasis]

[73] Justice Jurianz sets out issues arising as a result of Rule 48.15 in *Aguas* in support of his conclusion that the Registrar's dismissal ought to be allowed to stand and the judgment below be upheld:

[53] As there has been no change to rule 48.14 since 1992, a plaintiff, even one who does not receive a status notice, must realize that failure to set the action down in the prescribed time will lead to the action being dismissed: *Marché*, at para. 26. The plaintiff's solicitors, in such a case, should take the initiative to arrange a status hearing in order to obtain an "order otherwise", as is contemplated by the rule. At the status hearing, the court may impose a timetable setting time periods for the completion of the remaining steps necessary to have the action placed on or restored to a trial list or the court may dismiss the action.

[54] When this court disturbs a motion judge's exercise of discretion not to set aside a registrar's dismissal order, it undermines the scheme of active case management of sluggish cases for which Rule 48 provides. This highlights why this court has stated such decisions should be accorded "significant deference". With respect, my view is that the majority has failed to show the requisite deference for the motion judge's decision.

[74] With the greatest respect, I am concerned that the new guidance and apparent change in philosophy contained in the new Rule 77 also needs to be considered in determining cases such as this. If it is now the intention, as a matter of principle, to allow the parties to run their own cases and the greater share of the responsibility for managing the proceeding and moving it expeditiously to a trial now principally lies with them, is an administrative dismissal, in all but the most egregious cases justifiable?.

[75] As noted above Justice Sharpe has made the observation that delay in an individual case surpasses the rights of the particular litigants and engages the public interest. In that regard reference was made by him, to the strong public interest in promoting the timely resolution of disputes, as was recognized by the Supreme Court of Canada in *Blencoe v. British Columbia (Human Rights Commission)*, [2000] 2 S.C.R. 307, [2000] S.C.J. No. 43. There the court held, that "[t]he notion that justice delayed is justice denied reaches back to the mists of time . . . For centuries, those working with our legal system have recognized that unnecessary delay strikes against its core values and have done everything within their powers to combat it."

[76] This position, however now needs, in my view to be contrasted and reconciled with a more recent decision of the Supreme Court involving the British Columbia Workers' Compensation Board.

IX. Fairness or Finality?

[77] The Supreme Court of Canada, in the last sixty days released its decision in *British Columbia (Workers' Compensation Board) v. Figliola*, 2011 SCC 52 (CanLII). The court in that case consisted of McLachlin C.J. and Binnie, LeBel, Deschamps, Fish, Abella, Charron, Rothstein and Cromwell JJ.

[78] The "Court Summary" notes, in part:

The complainant workers suffered from chronic pain and sought compensation from British Columbia's Workers' Compensation Board. Pursuant to the Board's Chronic Pain Policy, they received a fixed compensation award. They appealed to the Board's Review Division, arguing that a policy which set a fixed award for chronic pain was patently unreasonable, unconstitutional and discriminatory on the grounds of disability under s. 8 of the British Columbia *Human Rights Code* ("Code").

[79] On judicial review, the Tribunal's decision was set aside. The Court of Appeal, however, concluded that the Tribunal's decision was not patently unreasonable and restored its decision.

[80] The Supreme Court held that the appeal should be allowed, the Tribunal's decision set aside and the complaints dismissed. The case considers the approach to be taken in evaluating and weighing the relative importance of the issues of fairness and of finality in litigation.

[81] Justice Abella writing for herself and LeBel, Deschamps, , Charron and Rothstein JJ. Held that: Section 27(1) (f) of the *Code* is the statutory reflection of the collective principles underlying the doctrines of issue estoppel, collateral attack and abuse of process – "doctrines used by the common law as vehicles to transport and deliver to the litigation process principles of finality, the avoidance of multiplicity of proceedings, and protection for the integrity of the administration of justice, **all in the name of fairness.**"

[82] Justice Cromwell, writing on his behalf and for McLachlin C.J. and Justices Binnie and Fish, expressed the view that both the common law and in particular s. 27(1)(f) of the *Code* are intended to achieve the necessary balance between finality and fairness through the exercise of discretion. In particular he observes:

58 The common law has consistently seen these finality doctrines as being concerned with striking an appropriate balance between the important goals of finality and fairness, more broadly considered. Finality is one aspect of fairness, but it does not exhaust that concept or trump all other considerations. As for s. 27(1)(f), it confers, in very broad language, a flexible discretion on the Human Rights Tribunal to enable it to achieve that balance in the multitude of contexts in which another tribunal may have dealt with a point of human rights law. In my view, both **the common law** and in particular s. 27(1) (f) of the *Code* are **intended to achieve the necessary balance between finality and fairness through the exercise of discretion. It is this balance which is at the**

heart of both the common law finality doctrines and the legislative intent in enacting s. 27(1)(f). In my respectful view, a narrow interpretation of the Tribunal's discretion under s. 27(1) (f) does not reflect the clear legislative intent in enacting the provision.

[83] Justice Cromwell in my view, significantly notes:

65 I conclude that the Court's jurisprudence recognizes that, in the administrative law context, **common law finality doctrines must be applied flexibly to maintain the necessary balance between finality and fairness. This is done through the exercise of discretion, taking into account a wide variety of factors which are sensitive to the particular administrative law context in which the case arises and to the demands of substantial justice in the particular circumstances of each case. Finality and requiring parties to use the most appropriate mechanisms for review are of course important considerations. But they are *not* the *only*, or even the most important considerations.**

[84] His reasons, I believe support a conclusion that the desirability of fairness, generally ought to trump the desirability of finality:

95 The most important consideration, however, is the last one noted by Binnie J. in [*Danyluk v. Ainsworth Technologies Inc.*, 2001 SCC 44, [2001] 2 S.C.R. 460] at para. 80: whether giving the earlier proceeding final and binding effect will work an injustice. If there is substantial injustice, or a serious risk of it, **poor procedural choices by the complainant should generally not be fatal to an appropriate consideration of his or her complaint on its merits.**

[85] Master Dash similarly concludes in *Vacarro* that justice would best be served by setting aside the dismissal:

[70] Considering all factors in context, and mindful of balancing the interests of both parties as well as the public's interest in the timely resolution of disputes, **I am of the view that the point has not been reached in this case where finality of litigation should trump the plea for an indulgence to the innocent plaintiff nor has the magnitude of the delay in this case reached the point where it would undermine public confidence in the administration of justice.** To the contrary, the unique circumstances of this being an accident benefits claim where the defendant insurer has been assessing the plaintiff's medical condition and claims for benefits almost continuously since shortly after the accident, the complete absence of prejudice and the plaintiff's personal "innocence" in the delay carries greater weight than the nine month delay in the litigation caused by her lawyer even combined with the six month delay in serving the motion. In my view this is not a case where the plaintiff should be forced to seek compensation against her lawyers, rather than from the accident benefits insurer. **Justice would be best served**

by allowing the action to proceed against the defendant and be determined on its merits. [my emphasis]

[86] Plaintiffs bring actions to address perceived wrongs done to them. They seek rely upon society's promise of access to justice. They invest time, emotion and financial resources in seeking their ultimate day in court.

[87] While defendants and insurers understandably seek to close their files as quickly as possible, I believe the dictates of fairness *and* the requirement of the "General Principle" set out in rule 1.04(1), should prevail, in all but the most egregious matters, with cases being justly determined on their merits.

X. Disposition

[88] When applying a contextual approach to this decision I have weighed a number of factors. These have included my assessments that:

- (a) this is an arguably meritorious action;
- (b) there is a reasonable explanation for the litigation delay;
- (c) the plaintiff alleges serious injuries;
- (d) it is inappropriate in this case to assume an action in solicitor's negligence would succeed ;
- (e) neither Plaintiff's counsel nor the Plaintiff had notice of the Status Notice Dismissal Order, as a result of slips or inadvertence;
- (f) there is no evidence of actual prejudice against the Defendant; and
- (g) the motion was brought reasonably promptly upon the discovery of the dismissal of the action.

[89] In my view, justice would be best served by allowing the action to proceed against the defendant and be determined on its merits.

[90] Poor procedural compliance, and the desire for reasonable finality, should not be fatal to an appropriate consideration of her complaint on its merits.

[91] The Plaintiff's motion to set aside the Registrar's dismissal should be granted and I so order.

[92] In light of the time absorbed by this motion, I am on my own motion establishing a new date by which this action must be set down for trial, of June 30, 2012.

XI. Costs

[93] I have determined that this case ought to proceed.

[94] In order to obtain this result the plaintiff sought and obtained an indulgence. Counsel for the defendant asserts that it should still be entitled to its costs of this motion, as its position was reasonable and justified on its view of the facts and somewhat inconsistent caselaw.

[95] Counsel for the plaintiff did not seek costs, but did note that in *Hakim Optical Laboratory v. Helen Phillips*, 2009 CanLII 4240, costs were awarded to the successful Plaintiff when the Court found the Defendant unreasonably opposed the motion.

[96] Counsel for the defendant sought costs relying on what was described as the leading case of *Fox v. Bourget* (1987), 17 C.P.C. (2d) 94 (Ont. Dist. Ct.); affirmed 9 W.D.C.P. 142 (Ont.

H.C.). That case provides that where a party seeks an indulgence and is unsuccessfully opposed by a second party, the second party is entitled to costs. Counsel asserted that the case holds “the price of an indulgence is payment of the costs of those who have sought, unsuccessfully, to prevent its being granted.”

[97] Similar results can be found in *Mollicone v. Town of Caledon*, 2011 ONSC 883; *Evans v. Revenue Properties*, 2011 ONSC 2132 (CanLII) and *Bains v. Morrow*, 2011 ONSC 6410 (CanLII)

[98] Conversely in *Scalni v. Prochniki*, 2007 ONCA 63, *Ruggiero v. FN Corporation*, 2011 ONSC 3212, and *Aguas v. Rivard Estate*, 2011 ONCA 494, no costs were awarded to the plaintiff was seeking an indulgence from the Court and the defendant had been unsuccessful on the motion.

[99] That seems to me to be the appropriate result in this case. Thus, there will be no order as to costs.

Master D. E. Short

DATE: December 19, 2011

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